SFS-005 — Mudarabah, Musharakah, and Profit Sharing

Internal Sharia Compliance Manual · Mal Islamic Bank — Sharia Supervisory Board

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§1 Scope

§1.1 This document governs the two principal partnership structures: *Mudarabah*, in which one party supplies capital and the other supplies management, and *Musharakah*, in which all partners contribute capital.

§1.2 It applies to investment accounts, project financing, equity participation, and any product in which the customer's return derives from a share of realised profit.

§2 Definitions

§2.1 *Rabb al-mal* means the capital provider in a Mudarabah. In an investment account this is the depositor.

§2.2 *Mudarib* means the manager in a Mudarabah. Where the Bank operates an investment account, the Bank is the mudarib.

§2.3 *Profit* means the surplus remaining after the capital sum has been recovered. An amount distributed before capital is recovered is an advance, not profit.

§2.4 *Unrestricted investment account* means one in which the depositor places no constraint on how the Bank invests the funds.

§3 Profit and loss

§3.1 Profit must be shared according to a *ratio* of realised profit agreed in advance. Stipulating a fixed monetary amount, or a percentage of the capital contributed, converts the arrangement into a loan bearing interest. See **[SFS-001 §4.1]**.

§3.2 In a Mudarabah, financial loss is borne by the capital provider alone, unless the loss results from the manager's negligence, misconduct, or breach of the agreed terms. The manager's loss is their unrewarded effort.

§3.3 In a Musharakah, loss is borne strictly in proportion to capital contributed, regardless of the profit-sharing ratio agreed.

§3.4 Profit may only be distributed once actually realised. Distributions made before realisation are advances and must be reconciled at the accounting date.

§3.5 A guarantee by the manager of either the capital or a minimum profit is not permissible, as it removes the risk that justifies the return.

§3.6 The profit-sharing ratio may differ from the capital ratio in a Musharakah, reflecting differing contributions of effort. The loss ratio may not.

§4 Investment accounts

§4.1 An unrestricted investment account operated on a Mudarabah basis is permissible, with the Bank as manager and depositors as capital providers.

§4.2 Depositors must be exposed to actual investment losses. An account marketed as Mudarabah in which the Bank absorbs all losses is not a genuine Mudarabah.

§4.3 The Bank's share must be expressed as a ratio of profit, not as a fixed fee charged against depositors' capital.

§4.4 Where the Bank commingles its own funds with depositors' funds, the basis of allocation between them must be disclosed and applied consistently.

§5 Profit equalisation

§5.1 A Profit Equalisation Reserve or Investment Risk Reserve may be maintained to smooth returns across periods, provided its existence, basis, and ownership are disclosed to depositors and they consent.

§5.2 Smoothing may not be operated so as to produce, in substance, a guaranteed or predetermined return. Where reserves are used to deliver a consistent target rate irrespective of performance, the arrangement reproduces the defect at **[SFS-001 §3.2]**.

§5.3 The treatment of reserve balances on account closure, and on the winding up of the fund, must be specified in advance.

§5.4 The Bank must be able to demonstrate that reported returns track underlying performance over a reasonable period. Persistent smoothing to a target is evidence that the account is not a genuine Mudarabah.

§6 Assessment criteria

§6.1 A profit-sharing product is **compliant** where the sharing ratio is agreed in advance, the return varies with realised performance, and the capital provider genuinely bears loss.

§6.2 A product is **non-compliant** where a minimum return, or the capital sum, is guaranteed to the investor by the Bank.

§6.3 A product is **non-compliant** where the Bank's share is expressed as a fixed monetary amount rather than a ratio of profit.

§6.4 A product **requires review** where smoothing mechanisms are present, since permissibility turns on whether disclosure is adequate and whether smoothing operates as a de facto guarantee.

§6.5 A product **requires review** where the Bank's remuneration mixes a profit share with fixed fees, since the fixed component may in substance guarantee the Bank a return irrespective of performance.

Sources and attribution

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- *AAOIFI Shari'ah Standards — principles concerning Mudarabah and Musharakah*
- *IFSB-4: Disclosures to Promote Transparency and Market Discipline*
- *Bank Negara Malaysia, Shariah Standard on Mudarabah*